LECTURE 1: COMPETITIVE MARKETS AND WELFARE

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WEEK 1

COMPETITIVE MARKETS

- From society's perspective, competitive markets are the best way to allocate goods and services between people
- As we learn about imperfect competition for the rest of this course - we'll use competitive markets as a benchmark
- Requires unrealistic assumptions for a market to actually be 'perfectly competitive'…
- …But some markets get close enough - like stock exchanges

REMEMBERING COMPETITIVE MARKETS WITH THE NYSE

- At each moment, people who want to sell stocks tell the NYSE their minimum price they'd take to sell their stock - their `willingness to sell'

- People who want to buy stocks tell the NYSE their maximum price they'd buy for - their `willingness to pay'

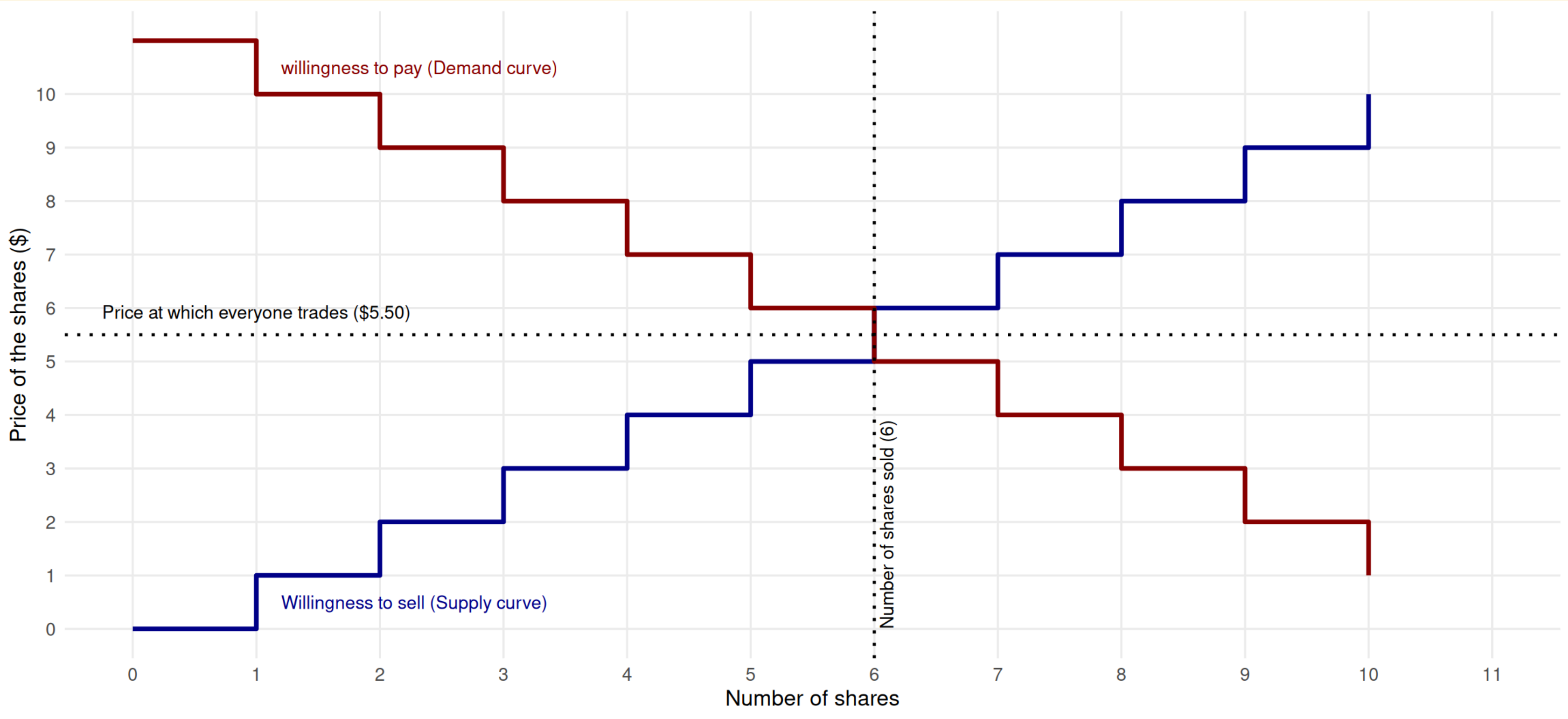
- The NYSE does two important things:

↬ matches buyers with the highest willingness to pay with sellers with the lowest willingness to sell - lets these people trade

↬ sets a price at which everyone trades

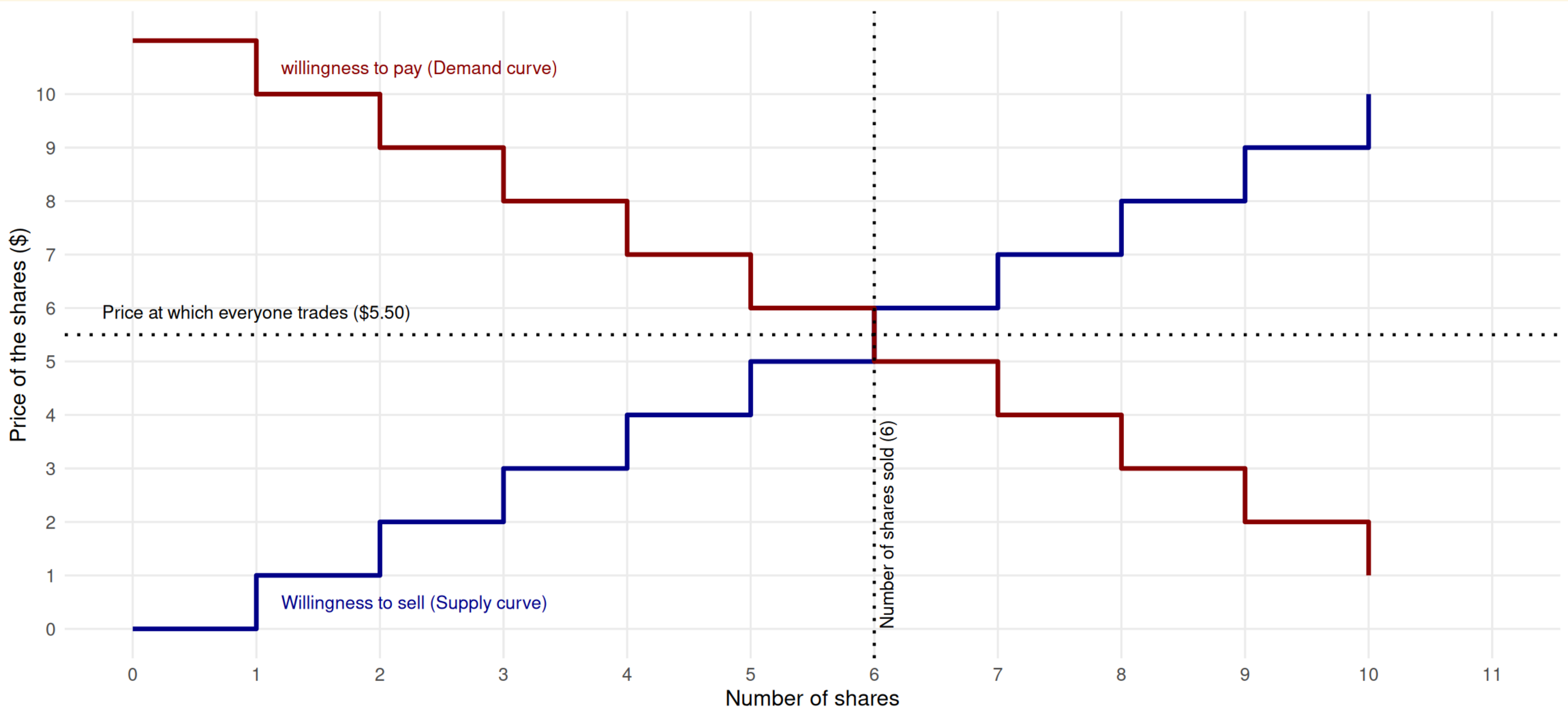
REMEMBERING COMPETITIVE MARKETS WITH THE NYSE

We can turn our share market into supply and demand



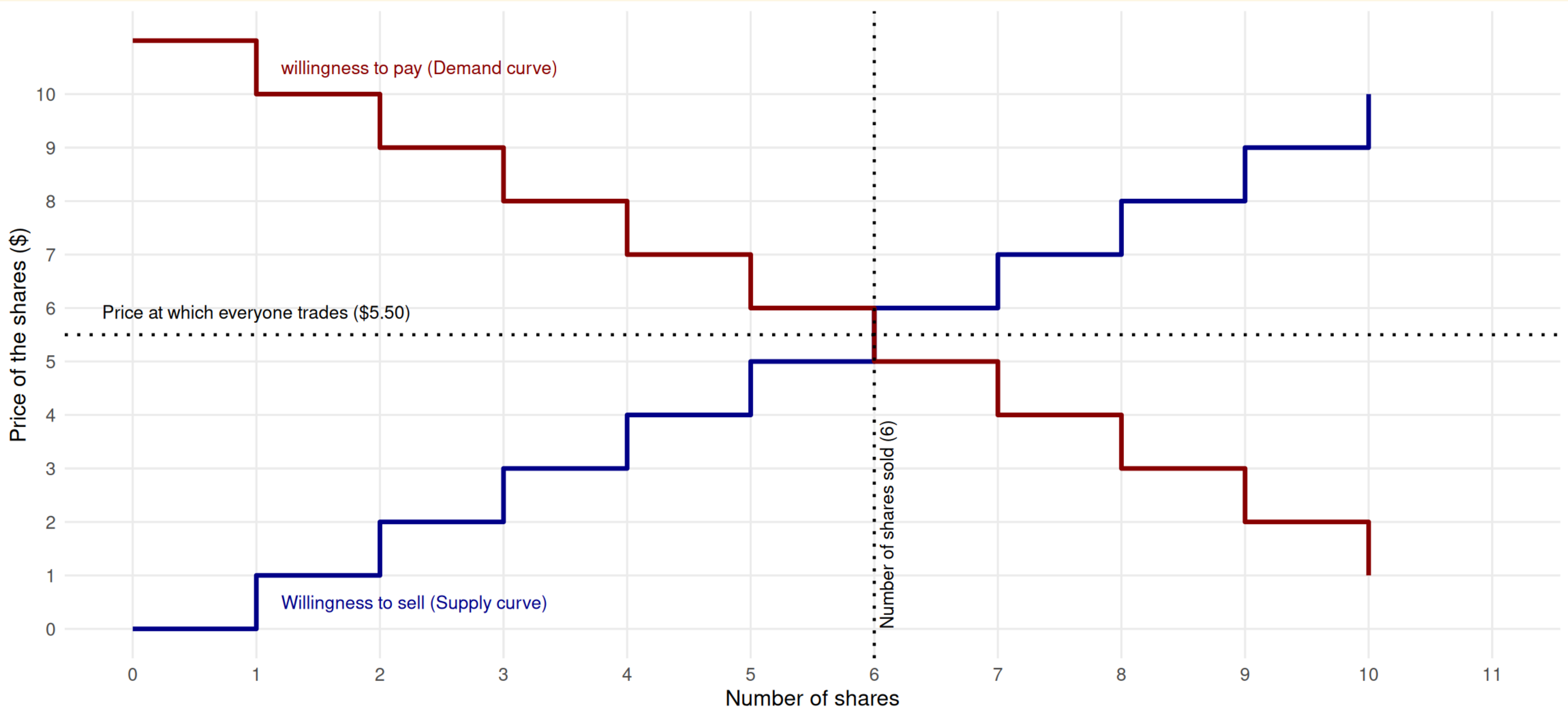
REMEMBERING COMPETITIVE MARKETS WITH THE NYSE

What is the willingness to pay and willingness to sell for the 7th share? Will they trade?



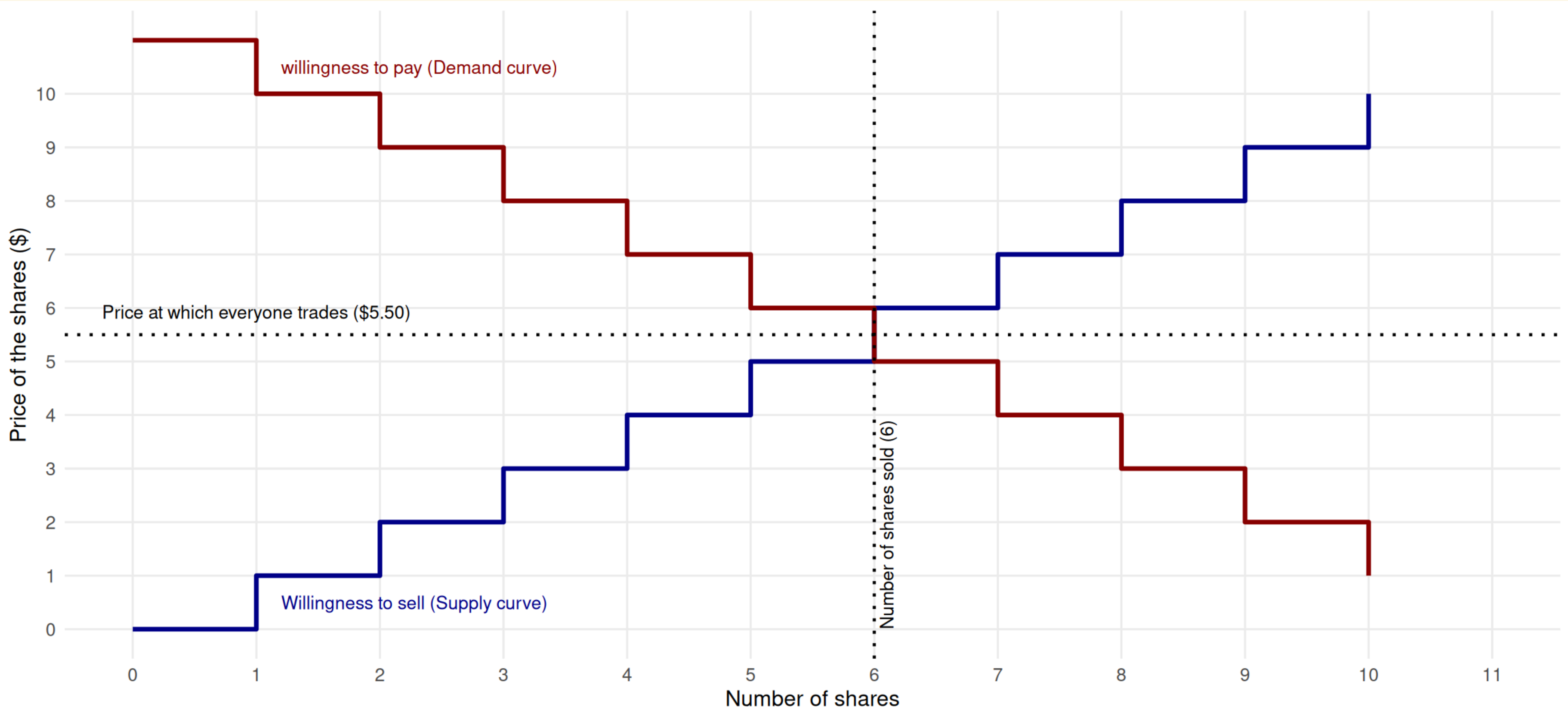
REMEMBERING COMPETITIVE MARKETS WITH THE NYSE

How much better off are the people that sell the first share?



REMEMBERING COMPETITIVE MARKETS WITH THE NYSE

In total, how much better off is everyone that sells a share? How much better off is everyone that buys a share? In total, how much better off is society for trading?



FEATURES OF A COMPETITIVE MARKET TO REMEMBER

- Everyone trades at the same price: At the intersection of willingness to pay and willingness to sell
- That is, no one has market power

↬ For most of our examples, the willingness to sell is the `marginal cost' of producing a good - so we say Price = Marginal Cost

- If you sum up how much better off all the buyers and sellers are from trading - this is the best we can ever possibly do!

SOCIAL WELFARE

In this class, our measure of how well off society is from trade is from summing up how much better off buyers and sellers are from trading

- We call how much better off buyers are `Consumer surplus’
- We call how much better off sellers are `Producer surplus’

How much better off society is from trading is Total surplus = Consumer surplus + Producer surplus

QUICK EXAMPLE (2 VOLUNTEERS)

- A trade makes society better off
- We don’t care how that benefit is distributed between people

↬ This makes the math easier - obviously not true in cases such as social welfare or tax policy

ANOTHER QUICK EXAMPLE (2 VOLUNTEERS)

- A trade makes society better off
- But a redistribution decreases total welfare, even if one party is better off
- We call these deadweight losses - its a drag on society

COMBINING THIS ALL TOGETHER

- This course is all about `imperfect' competition
- We are going to think about how well off society in the real world compared to the `perfectly competitive' benchmark
- Remember Ivy Leagure enrollment from the introduction lecture

↬ These universities use market power and decrease the number of enrollments (imperfect competition) - this decreases surplus by artificially decreasing `trade' of university placements

↬ Some people who would be willing to pay the price of admission still can't get in - even if the universities have the resources to allow them in!

↬ We could then think about much better off society would be if they opened their doors to more students - but also how much worse off these universities would be in terms of value